EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904. Allacapan is a third-class municipality as per income class and is composed of 27 barangays, with a total population of 35,234 in 8,081 households (Actual data from the MHO based on BHW Census 2020). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Allacapan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Allacapan, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	661,100,590.74	410,866,714.48	250,233,876.26
Liabilities	141,110,247.72	49,078,676.48	92,031,571.24
Government Equity	519,990,343.02	361,788,038.00	158,202,305.02
Financial Performance			
Income	250,763,855.18	186,693,544.95	64,070,310.23
Expenses	194,925,061.46	164,634,523.21	30,290,538.25
Appropriations, Allotments and Obligation			
Appropriations	312,857,031.80	198,591,764.00	114,265,267.80
Allotments	312,857,031.80	198,591,764.00	114,265,267.80
Obligations	269,945,544.39	176,071,835.01	93,873,709.38

C. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2022 due to: (1) non-conduct of physical count and one-time cleansing procedures of PPE affecting the reliability of the said account amounting to P486,214,109.20; and (2) unreconciled balance of Road Networks account per Accounting Records and Inventory Report amounting to P14,951,722.22.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P486,214,109.20 as of December 31, 2022 cannot be determined due to: (1) non-conduct of physical count of all items of PPE; (2) non-maintenance of Property Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

   We recommended that the Management:

   a. Thru the Inventory Committee, conduct physical inventory of all items of PPE of the Municipality and submit the Report on the Physical Count of Property, Plant and Equipment, within the prescribed period in accordance with Section 124 of the Manual on the New Government Accounting System for LGUs, Volume I, for the timely review and verification of the PPE accounts;

   b. Update the property records based on the results of physical inventory, and reconcile with accounting records to make the records reflective of the actual count of PPEs;

   c. Undertake all procedures prescribed under COA Circular No. 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

   d. Direct the GSO to maintain Property Cards and the Municipal Accountant to update the PPE Ledger Cards for each item of the PPE pursuant to Section 114, Paragraph 4 of the MNGAS for LGUs, Volume I.

2. The accuracy and reliability of the Road Networks account totaling P141,145,837.08 as at December 31, 2022 cannot be established due to: (1) unreconciled balance per Accounting records and Inventory Report amounting to P14,951,722.22; (2) non-maintenance of complete Local Road Network Property Card, Local Road Network Ledger Card and subsidiary records for roads and its components and (3) lack of disclosure in the Notes to Financial Statements on the total road network system, which are contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

   We recommended that the Local Chief Executive:

   a. Require the Inventory Committee to submit the Report on the Physical Count of Local Road Networks to the Office of the Auditor, using the prescribed format, within the prescribed period for timely verification and the reconciliation of the list of inventory per Local Road Inventory Report and Road Map with those recorded in the Road Networks account;

   b. Instruct the GSO to a maintain Local Road Network Property Card to indicate the status and condition of each road networks and its components;

   c. Direct the Municipal Accountant to prepare Local Road Network Ledger Cards, subsidiary records and to properly disclose the details of the total road network system in the Notes to Financial Statements in the format prescribed by COA Circular No. 2015-008 dated November 23, 2015;

   d. Direct the Municipal Assessor/Municipal Engineer to provide costing of the land where the local road networks are situated/erected; and

   e. Enjoin the concerned officials and employees to strictly comply with COA Circular No. 2015-008 dated November 23, 2015 to ensure fair presentation of the Local Road Network account in the Financial Statements.

3. The Municipality engaged the services of 158 Job Order workers in CY 2022 with duties and responsibilities similar to that of regular/casual employees, contrary to Section 7 of CSC-COA-DBM Joint Memorandum Circular No. 2017-1 dated June 15, 2017, thus, may not be economical and efficient considering the possible risks involved due to absence of accountability of said workers. Likewise, there was no prior authorization from the Sanggunian for the Municipal Mayor to enter into a contract with the Job Order workers, contrary to Section 22 (c) of the Local Government Code, which may result in excessive workforce, work duplication and eventual waste of financial resources.

We recommended that the Municipality, through the Human Resource Management Office, refrain from assigning regular functions to job order workers and secure prior authorization from the Sanggunian before entering into contract with the latter, in compliance with Section 7 of CSC-COA-DBM Joint Memorandum Circular No. 2017-1 dated June 15, 2017 and Section 22 (c) of the Local Government Code.

We also recommended that the Management re-assess/revisit its staffing pattern and consider the filling up of vacant plantilla positions and funding of created plantillas, as the budgetary limit for personnel services may allow, in order to reduce the hiring of unlimited job orders, so as not to prejudice good governance, fiscal adequacy and public service delivery.

4. The funds for the payment of Honoraria to the Members of the Bids and Awards Committee, BAC Secretariat, and BAC Technical Working Group amounting to P302,500.00 were sourced from the regular appropriations in the CY 2022 Annual Budget, which is not compliant with Item 3 of DBM Budget Circular No. 2007-3 dated November 29, 2007.

   Moreover, two (2) of the BAC personnel were paid honoraria in excess of 25% of their basic monthly salary, totaling to P22,936.00 in CY 2022, which is not in accord with Section 15 of the Revised Implementing Rules and Regulations of RA 9184 and Item 5.4 of DBM Budget Circular No. 2004-5A.

   We recommended that the Management stop appropriating in its Annual Budget a fund for the payment of honoraria to the members of the BAC, BAC Secretariat and TWG. The necessary amount should be taken from the proceeds from sale of bid documents, fees from contractor/supplier registry, fees charged for copies of minutes of bid openings, BAC resolutions and other BAC documents, protest fees, other proceeds from bid security forfeiture and from the agency's savings after the mandatory expenditure items have been satisfied with, as provided under Item 3 of DBM Budget Circular No. 2007-3 dated November 29, 2007.

   We also recommended that the Management grant honoraria to the BAC Members, BAC-TWG and BAC Secretariat within the 25% limitation set forth under Section 15 of the Revised IRR and Item 5.4 of DBM Budget Circular No. 2004-5A.

   Finally, we required the BAC personnel to refund the BAC honoraria charged under the annual appropriation and the amount in excess of the 25% limitation in the total amount of P325,436.00, because this expenditure is irregular and is disallowed in audit.

E. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	2,694,076.02	-	-	2,694,076.02	0.00%
Current Year	-	-	-	-	-
Total	**2,694,076.02**	**-**	**-**	**2,694,076.02**	**0.00%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eleven (11) audit recommendations embodied in the CY 2021 Annual Audit Report, six (6) were fully implemented, three (3) were partially implemented and two (2) were not implemented, hence, reiterated in Part II of this Report.